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AFTER SPENDING OVER 20 years helping multinational financial firms set up captive centres in India, Ashish Bhatia felt his job was getting too comfortable and it was time for a change. Seeing the start-up fever sweeping the country, Bhatia jumped in. Like most entrepreneurs in their early days, he too struggled and was frantically looking for support when he chanced upon the concept of accelerators. That's when he started looking at how they operated. "When I launched a start-up, I didn't know who to talk to. I thought, if someone like me, in spite of a fairly successful corporate career, is struggling so much while doing a start-up, spare a thought for the young founders out there," says Bhatia.

His thesis was simple. India's start-up ecosystem was expected to grow and it would need a strong ecosystem of enablers and partners. On that thesis, Bhatia launched India Accelerator (IA) in 2017. Over 100 start-ups applied for its first cohort. "The number of start-ups gave us the belief that this [the accelerator programme] is a required solution for a real problem," he says.

IA is among a crop of incubators and accelerators that have mushroomed in India post the e-com-

SEARCHING FOR FUEL



► Accelerators run mentor-based programmes to help seed- and early-stage start-ups with guidance, mentorship, and financing



► A majority of accelerators in India are funded by government grants and CSR programmes



► The traditional model of accelerators taking up equity in start-ups in exchange for participation in accelerator programmes is deemed unviable as early exit options are few and far between



► Accelerators are becoming domain-focussed as without a strong sector-specific community-based approach, meaningful outcomes are rarely achieved



► More and more accelerators are gradually becoming early-stage VC funds that invest in large cohorts for better returns

merce boom. Per a report by consulting firm Primus Partners, the number of accelerator programmes in India grew from 585 in 2017 to 900 in 2021. However, the concept of start-up accelerators has forever changed from the time Bhatia launched IA. As the ecosystem has matured, the quality of ideas and founders have improved too, resulting in start-ups raising around \$24.7 billion in India between January and November 2022, per data platform Tracxn. Also, the country has over 100 unicorns today. A visible outcome of this maturing ecosystem is the changing dynamics of how founders and VCs (venture capitalists) approach accelerators.

START-UP ACCELERATOR
A isn't cheap to run. It constantly needs capital to hire quality talent to run the programmes, fund an office space and offer early-stage capital to portfolio companies. Traditionally, accelerators take a small, single-digit equity share in their portfolio start-ups with a promise to help them in everything from connecting with domain mentors and go-to-market strategies to assistance in raising future capital. But relying on the returns from early-stage start-ups for their own cash flows is proving to be unviable for accelerators. VCs, start-ups or accelerators have a common but vital thread—all of them need a good deal of time before they figure out what works and what doesn't. Odds are that 80-90 per cent of the start-ups will not give a viable return in a five- to six-year timeline.

A majority of accelerators in India are funded by government grants or corporate social responsibility programmes. The generalist, equity-based programmes suffer from an adverse selection problem as they attract founders who could not raise capital from pure-play angels or early-stage investors. That leaves accelerators with a set of start-ups that have a lower proba-